prominently when, in 1971, India protested against the suppression of democracy in East Pakistan and went to war to prevent the genocide of Bengalis by the Pakistan Army. After assisting in the birth of Bangladesh, Indira withdrew Indian troops from erstwhile East Pakistan to show that India's assertion of power did not amount to coveting other people's territory.

India's desire to be the only major power in South Asia has not always been successful, partly because India could not step in with economic assistance or military hardware whenever its neighbours needed them. Managing a sphere of influence is not only a function of telling others what to do but being able to expend resources that deny space to competitors. Even Bangladesh, which attained independence with India's help, eventually had to turn to the United States and China for economic support because India alone could not bear the cost of its development. India's attempts in recent years to keep China's influence out of its periphery have not succeeded for similar reasons.

More recently, India has tried to use economic diplomacy to build better ties with its neighbours. It has offered trade concessions, such as zero tariff or removing non-tariff barriers, and concessional loans and credit to Afghanistan, Bangladesh, Sri Lanka and Nepal, primarily with geopolitical motives. Such initiatives have become possible because of India's economic growth. Any loss that India incurs in trade, lending or investment is deemed bearable as long as it leads India's neighbours to uphold India's security interests.

## AUTARKY AND MULTILATERALISM

India's economic expansion has enabled India to deploy economic tools in managing national security and maintaining international influence. Major nations now look at India as a trading partner, destination or source of investment and as a market for their own products. It was not, however,